

Most people on the standard path through life save and invest little. This makes them vulnerable to insurance salesmen who push products that claim to give the benefits of insurance with the upside of investments. Examples include whole life insurance and variable annuity products. Unfortunately, these products come with unnecessarily high costs and subpar investment returns. A simple way to save money on insurance is to keep your insurance separate from your investments. The vast majority of people who have the discipline to save and invest money, as required to *Choose FI*, are best served by purchasing simple, lower-cost insurance products and then investing the difference on their own, such as choosing a term life insurance policy over an expensive and complex whole life policy.

The only insurance that is more important to someone who *Chooses FI* than someone on the standard path through life is liability insurance. As you accumulate wealth, you can become a target in our litigious society. Fortunately, umbrella liability insurance is a relatively affordable solution. That's because it fits neatly in the upper-left quadrant of the chart. An umbrella policy covers you for liability if you're sued for more than your auto or homeowners policy covers.